AUG 8 Session - Local Revenue Panel Transcript - Property Tax Exemptions

As this transcription was done by WhisperAI, there may be inaccuracies in spelling, transcription, and speaker identification.

[SPEAKER_03]: Just to find that, yep.

[SPEAKER_05]: On the bottom of your screen, if you see a little button that says more, there's a circle of three dots next to it.

[SPEAKER_05]: Feel free to click that.

[SPEAKER_05]: You should see an option for breakout rooms.

[SPEAKER_03]: Here, it always takes just a brief moment as people will start to select the room that they're getting into.

[SPEAKER_03]: So I'm just going to give it an extra beat or an extra moment.

[SPEAKER_03]: to make sure everyone gets slid in here accordingly.

[SPEAKER_03]: Hey Steve, one thing I noticed is that people have the option to join the staff meeting room and extra staff green room.

[SPEAKER_03]: Yeah, we'll make sure that if somebody moves into that room that they slide themselves into a different space here accordingly.

[SPEAKER_03]: But yeah, definitely appreciate it there.

[SPEAKER_03]: Thank you.

[SPEAKER_03]: Nice.

[SPEAKER_03]: All right, we're beginning to just get a little bit down here at this point to the last couple of folks there.

[SPEAKER_03]: I'll give it the last 10 seconds.

[SPEAKER_03]: Excellent.

[SPEAKER_03]: Perfect.

[SPEAKER_03]: All right, we're gonna get started here to maximize the time here.

[SPEAKER_03]: So just want to just give some quick introductions to the rest of the panel and then I'll let Dan take it from there as a moderator here.

[SPEAKER_03]: So we have four esteemed people here nicely on the panel.

[SPEAKER_03]: We'll go ahead and spotlight them in just a moment here.

[SPEAKER_03]: But actually moderating our session today, we're gonna have Dan Hart.

[SPEAKER_03]: Dan is a senior editor and columnist at the CT Insider.

[SPEAKER_03]: Uh, columnist and senior editor at Hearst Connecticut Media Group, also appears weekly on WFSB for commentary, was previously at the Hartford Courant in numerous roles, including business editor and metro columnist, and has won numerous national and regional awards.

[SPEAKER_03]: as photographer, writer, and editor.

[SPEAKER_03]: On the panel today, we have Gian-Carl Casa here.

Gian-Carl Casa was selected as the first president and CEO of the Connecticut Community Nonprofit Alliance, or as known as the Alliance, the statewide association of nonprofit organizations across Connecticut.

[SPEAKER_03]: From 2011 to 16, he was the undersecretary for legislative affairs at the State Office of Policy and Management.

[SPEAKER_03]: or that he worked for over two decades at the Connecticut Conference of Municipalities.

[SPEAKER_03]: We also have Justin Elicker here, the mayor of New Haven, first sworn into office in January of 2020.

[SPEAKER_03]: Prior to being elected mayor, Eliker served on the New Haven Board of Alders as executive director of the New Haven Land Trust and the U.S. Foreign Services and as a...

[SPEAKER_04]: And we have Jennifer here.

[SPEAKER_03]: Jennifer has begun, began in the assessment field in 2004, has worked in a wide range of municipalities such as Sterling, Canterbury, East Hartford, and Groton here.

[SPEAKER_03]: So certainly in this

[SPEAKER_03]: it may look like in these breakout rooms, I'm not going to be able to spotlight all four of you individually, so I apologize in advance, but hopefully four of you can come off mute.

[SPEAKER_07]: I can't see the panelists, but that's all right, I guess.

[SPEAKER_07]: If people are here and thinking, oh, I have a lot of time, a lot of time.

[SPEAKER_07]: That's great.

[SPEAKER_07]: I apologize.

[SPEAKER_07]: I don't have the technical skills to do the background.

[SPEAKER_07]: I said I wasn't going to be able to do it.

[SPEAKER_07]: I cried.

[SPEAKER_07]: I gave a half an hour.

[SPEAKER_07]: All I could hear was my old friend Alex Knapp and Chris Davis talking about

[SPEAKER_07]: And to those of you who heard of the guardrails conversation, don't worry.

[SPEAKER_07]: Don't worry.

[SPEAKER_07]: Only Len Fizzano, the former Senate minority leader, understands the guardrails.

[SPEAKER_07]: Nobody else really understands the guardrails.

[SPEAKER_07]: And of course, everyone at CCM does as well.

[SPEAKER_07]: But really, some of this stuff can be very difficult.

[SPEAKER_07]: And I know that we all have, as you can tell, since I wasn't able to do the background, I don't have a great technical

[SPEAKER_06]: facility.

[SPEAKER_07]: But the really important thing to remember here as we talk about today tax exemptions is it may get a little bit technical.

[SPEAKER_07]: But the big picture is the big picture, which is what's in the town or the city and that's really it.

[SPEAKER_07]: And what is the fairest way?

[SPEAKER_07]: There is no way that there are always winners and losers, of course, but there's no way to change

[SPEAKER_07]: a tax without moving the burden from somebody to somebody else, unless you figure out a way to lower the cost, which that's another panel.

[SPEAKER_07]: That's Joe, he did that last week.

[SPEAKER_07]: So with that, I think we're gonna go around and have everybody talk for a minute about their perspective on these tax exemptions.

[SPEAKER_07]: And again, just bearing in mind what they are, are pieces of the grand list of everything that's in the town that is potentially taxable that get taken off.

[SPEAKER_07]: for one reason or another, mostly because, as we're going to talk about today, they are non-profit or public sector.

[SPEAKER_07]: So let's start with Jen, since you are the assessor and the head of the Assessors Association.

[SPEAKER_07]: Just a couple of minutes about your perspective, and then we'll go around and talk about the pieces of this.

[SPEAKER_07]: Yeah, we're going to begin our presentation today.

[SPEAKER_03]: It's coming in a little bit.

[SPEAKER_03]: My apologies for the introduction.

[SPEAKER_03]: It's coming in a little bit staccato kind of the vocals in and out here for a second.

[SPEAKER_03]: Yeah, it looks like, unfortunately, tell you what, Jennifer, I'll see if I can do a quick chat with you here to see if we can.

[SPEAKER_03]: Let's start.

[SPEAKER_07]: Let's go to a man out here for your perspective.

[SPEAKER_07]: And I know I've talked with you about your perspective on this and it's colorful.

[SPEAKER_07]: I should presage this by saying that New Haven and Mansfield are the top cities and towns, top among cities and towns in exempt property, and this is a big issue.

[SPEAKER_04]: Mayor?

[SPEAKER_04]: Thanks.

[SPEAKER_04]: I appreciate that you think my perspective is colorful.

[SPEAKER_04]: I like that.

[SPEAKER_04]: Thanks everyone for your service here, because you're spending a lot of time really digging into these issues.

[SPEAKER_04]: So as Dan said, New Haven has over 50% of the property in our city non-taxable.

[SPEAKER_04]: And so that means we don't collect for around 52, a little bit over 52% of the property in the city, any property taxes.

[SPEAKER_04]: And as you can imagine, that's a real struggle for us.

[SPEAKER_04]: And just to step back about the purpose of nonprofits, [SPEAKER_04]: and us not taxing as a society nonprofits is nonprofits are doing something good for society.

[SPEAKER_04]: Some might say that they're doing what government should do.

[SPEAKER_04]: And so they're kind of supporting things that we all can agree on.

[SPEAKER_04]: And therefore we don't tax them so that we can kind of incentivize that work and allow them to do more of that work.

[SPEAKER_04]: But the core of the question is by not taxing them, who is helping subsidize that work?

[SPEAKER_04]: And I'll use it as an example where we have, of course, Yale, which is a significant majority of our non-taxable property in the city.

[SPEAKER_04]: And Yale's doing a lot of good services for the world, right?

[SPEAKER_04]: They're creating the leaders of the future.

[SPEAKER_04]: They're identifying solutions to a lot of vaccine problems, medical solutions, et cetera.

[SPEAKER_04]: But effectively, because New Haven can't collect property taxes, New Haven is subsidizing that support that many people in Connecticut and the world benefit.

[SPEAKER_04]: And so I think one of the core issues is who is actually paying the subsidy to support the nonprofit's work in the communities.

[SPEAKER_04]: The hospital is another example in New Haven.

[SPEAKER_04]: They have a significant portion of our non-taxable property as well.

[SPEAKER_04]: that benefit from the hospital, yet New Haven is the one that, because we don't have that taxable property, we effectively subsidize that.

[SPEAKER_04]: And the final thing I'd add is that it's, when you think about it, if 52% of the property in New Haven is not taxable, 48% of the remaining property is paid for all the services in our city.

[SPEAKER_04]: A town like New Canaan where I grew up, is around 6% of the property

The burden of the cost of all the services is shared across the board in a place like New Canaan, whereas in New Haven, only about half of the city can get all the services.

[SPEAKER_04]: One thing I'd add is that the state has a mechanism to help us reimburse us for a lot of that lost revenue, but it doesn't reach the amount of lost revenue that we would receive if these entities were taxable.

[SPEAKER_04]: Yale has a $4.5 billion value of their taxable property.

[SPEAKER_04]: So they pay $180 million to the city of New Haven if they pay taxes on that non-taxable property.

[SPEAKER_04]: We get $105 million from the state for the loss of revenue.

[SPEAKER_04]: And so you can imagine the significant gap between $180 million and 105 of what we would have received

[SPEAKER_04]: If we pay taxes, it's just one example.

[SPEAKER_04]: That's deep.

[SPEAKER_07]: That's all right.

[SPEAKER_07]: James, can you stand up in line?

[SPEAKER_04]: That's a lot.

[SPEAKER_02]: Can everyone hear me better this time?

[SPEAKER_07]: Yes.

[SPEAKER_07]: Okay.

[SPEAKER_07]: Yes.

[SPEAKER_02]: So maybe what would be most helpful just so everyone has a baseline

[SPEAKER_02]: The mayor already touched on the college and hospitals, but there's a variety of exempt property.

[SPEAKER_02]: Obviously, your local town property, your state property, federal property, if you have it in your municipality, all of that's going to be exempt.

[SPEAKER_02]: Fire companies, churches, religious property will be exempt.

[SPEAKER_02]: And then there's also

[SPEAKER_02]: specifically for non-profits, property that's used for scientific, educational, literary, historical, or charitable purposes.

[SPEAKER_02]: So that can run a wide gamut, but there's a lot more.

[SPEAKER_02]: And the assessor's job is the local administration of the property tax, but it's our job also to make sure that those exemptions are applied appropriately and accurately.

We have lots of questions about that process, Jim.

[SPEAKER_07]: And Gian-Carl Casa, are you in?

[SPEAKER_06]: I'm here, yes, thank you.

[SPEAKER_06]: I'm Gian-Carl Casa.

[SPEAKER_06]: I am president and CEO of the Connecticut Community Nonprofit Alliance.

[SPEAKER_06]: We represent community nonprofits and we just differentiate.

[SPEAKER_06]: We do not represent colleges, private colleges and hospitals.

[SPEAKER_06]: So folks I'm talking about are people who run organizations that provide services for people with intellectual and developmental disabilities, people who need mental health and substance abuse treatment, homeless shelters, food pantries, organizations that are buying jobs for prisoners coming home after incarceration.

[SPEAKER_06]: We're talking about Connecticut's safety net.

[SPEAKER_06]: Now, in my bio you saw that I wrote

[SPEAKER_06]: the Office of Policy Management for five and a half years.

[SPEAKER_06]: But before that, I worked for a couple of centuries for CCM.

[SPEAKER_06]: And back in the 1980s, my first major policy work was to call around to cities and towns and to ask them how many people in their communities

[SPEAKER_06]: had been discharged from state mental institutions, sent back to the town with no continuum of care, no coordination of care, nothing.

[SPEAKER_06]: They just come back to their city and town and where would they go?

[SPEAKER_06]: They would go to city or town hall, the social services area of our services organization of last resort.

[SPEAKER_06]: And that goes directly to why I say nonprofits exist to do things.

[SPEAKER_06]: They do it efficiently.

[SPEAKER_06]: They do it well.

[SPEAKER_06]: Property tax exemptions for these organizations are a state's way of recognizing that the communities in which they function are better places to learn to work because those nonprofits are there.

[SPEAKER_06]: And if you wonder about that, think about what can I give a deal about them.

[SPEAKER_06]: And remember that any dollar that they would have to pay in property taxes or other taxes wouldn't be available

[SPEAKER_06]: provide services that matter to Connecticut's most vulnerable residents.

[SPEAKER_06]: So I would ask that people not think about property rights exemptions to community nonprofits as a gift.

[SPEAKER_06]: Think about them as compensation for the job they do.

[SPEAKER_06]: And I believe they are a bargain to stay in local governments here in Connecticut.

[SPEAKER_07]: We can see the seeds of some debate here, which we're going to get to.

[SPEAKER_07]: What I would like to do, first of all, flipping through, since we can't see the whole group as a whole, with pictures.

[SPEAKER_07]: This looks like a great group, and I hope to see many of you in person at one of the upcoming meetings.

[SPEAKER_07]: And I, like the mayor, I really appreciate what you guys are doing in this issue, and it's a tough one.

[SPEAKER_07]: We'll move forward.

[SPEAKER_07]: What we'd like to do is just spend a few minutes talking about the facts, just what are the facts on the ground, and a little bit talking about the debates, the disagreements, which you can see there are different sides to this, should the non-profits get the full attention that they're doing.

[SPEAKER_07]: And if we have time, and I think we will, we'll talk a little bit about solutions.

[SPEAKER_07]: We are going to have time for questions at the end.

[SPEAKER_07]: We may take questions during.

[SPEAKER_07]: I'm watching the questions, for example, from Diana.

[SPEAKER_07]: Is there a fiscal distinction between community nonprofits, institutional, either revenue nonprofit or do they fall into the same bucket?

[SPEAKER_07]: I think we're going to get to that.

[SPEAKER_07]: But I'm watching the questions and we're going to get to questions either during or after.

[SPEAKER_07]: So let me start by saying, is this

[SPEAKER_07]: I made a spreadsheet, and I sent it around.

[SPEAKER_07]: I'm happy to send it to Steve.

[SPEAKER_07]: If you got it, you can send it to everyone.

[SPEAKER_07]: If not, I can just refer to it during.

[SPEAKER_07]: And I sent it to the panelists as well.

[SPEAKER_07]: It strikes me that, as the mayor said, many of these cities and towns are under the midpoint in the 80s of towns.

[SPEAKER_07]: It's only about 8% of property.

[SPEAKER_07]: Beacon Falls, North Grandford, Westbrook, Stratford,

[SPEAKER_07]: uh... you know very ready eight percent it's at the top there are some that are almost not uh... just two or three percent at the very bottom but at the top is where you have a real issue Windsor Locks sixty one percent, New Haven fifty four, as the mayor said Hartford fifty one Windsor Locks because of the airport almost exclusively because of the airport forty eight percent and so the first thing i would ask an auditor for jen

[SPEAKER_07]: Many of these properties, in general, as a problem, are these properties that tend to cost the town, the cities and towns money for them to be there?

[SPEAKER_07]: And should we be looking at that as a factor?

[SPEAKER_07]: In other words, you could say that Yale definitely is adding cost to New Haven.

[SPEAKER_07]: You could say that the airport may be not so much for Windsor Locks.

[SPEAKER_07]: Where do these things fall?

[SPEAKER_07]: What do they tend to look like?

[SPEAKER_07]: across the border?

[SPEAKER_02]: It really depends on the type of entity that it is, right?

[SPEAKER_02]: So most of these provide needed services, just like Gian-Carl Casa said.

[SPEAKER_02]: So if it's municipal property, you know, that's your town.

[SPEAKER_02]: Your town is getting your roads and providing your, you know, the schools and things like that.

[SPEAKER_02]: Same for the state and federal property.

[SPEAKER_02]: Colleges and hospitals, those provide very important services as well.

[SPEAKER_02]: So

[SPEAKER_02]: Do they require services?

[SPEAKER_02]: Yes, they do, but they're also providing services.

[SPEAKER_02]: So that, I think, is what arrives at the great debate, is how do you balance those scales?

[SPEAKER_07]: Do you see that?

[SPEAKER_07]: I want to be a little bit devil's advocate with you about the cost.

[SPEAKER_07]: Does it?

[SPEAKER_07]: It is true that Yale doesn't put out requires and police the panel.

[SPEAKER_07]: Of course, they have their own public safety department.

[SPEAKER_07]: Is it a big net cost to the city to have it there?

[SPEAKER_07]: In other words, can you imagine it just like, let's say it were a lake, right?

[SPEAKER_07]: A very rich lake with 48 million dollars in it.

[SPEAKER_07]: Can you imagine that in one way of seeing it, that it doesn't really, well Yale isn't sending kids to schools other than the people who live there, that sort of thing.

[SPEAKER_07]: Mayor, what do you think of that pushback?

[SPEAKER_04]: I mean, I think it's, let's take the example of we have a correctional facility in New Haven, and that correctional facility doesn't just serve people in New Haven, it serves people and anyone who is incarcerated in the region.

[SPEAKER_04]: But people that are at the correctional facility, if they're released, typically released in New Haven, we are tasked with supporting people if they don't return to their host communities,

[SPEAKER_04]: with the hospital, people that say are struggling with some severe challenges around mental health and homelessness that are from another strong town, oftentimes if they have a medical issue or transfer to the hospital and released out of the emergency room, and then we're tasked in New Haven with supporting those folks.

[SPEAKER_04]: And those examples are, you know, with many different nonprofits.

[SPEAKER_04]: I think the core of the question here is who is benefiting and who pays?

[SPEAKER_04]: And if it's property taxes that are exempt,

[SPEAKER_04]: the local community pays for oftentimes benefits that everyone or the broader community is receiving.

[SPEAKER_04]: And I'd also say another important question is, is there a limit to the benefit that a tax exempt property made a nonprofit may receive?

[SPEAKER_04]: So Yale is a very different comparison than the organizations that Gian-Carl represents that are

[SPEAKER_04]: much smaller and providing much more direct services to directly to our residents.

[SPEAKER_04]: So I think those are two kind of core questions that need to be talked about.

[SPEAKER_07]: I should mention that under the category of private colleges, which is not exclusively Yale, University of New Haven is also New Haven, $4.5 billion of exemption.

[SPEAKER_07]: And in the category of hospitals, which is largely Yale-New Haven, that's $1.8 billion.

[SPEAKER_07]: So that is, as the mayor said, millions and millions of dollars.

[SPEAKER_07]: But Jim Carl, do you think that there's, do you feel that there is a sort of a misunderstanding of the fact that your members tend to be smaller and just what the mayor said is they are contributing to the community directly and that therefore there's perspective shouldn't be there?

[SPEAKER_06]: But yes, and I think there's an argument to be made both by the private colleges and private hospitals about their tax exemptions.

[SPEAKER_06]: I'm just not paid to talk about that.

[SPEAKER_06]: But let me just be clear that nonprofits, community nonprofits, don't just get a tax exemption by saying that they're property tax exempt.

[SPEAKER_06]: They have to apply to the town, for instance.

[SPEAKER_06]: State statutes say what kind of

[SPEAKER_06]: community nonprofits are exempt from taxation.

[SPEAKER_06]: And then there's a test that had been created by the state Supreme Court to determine what a charitable nonprofit is.

[SPEAKER_06]: And so nonprofits have to show certain things, like they relieve a governmental burden.

[SPEAKER_06]: They exist to carry out an exclusively charitable purpose, things like that.

[SPEAKER_06]: So it's not automatic.

[SPEAKER_06]: They have to show that they're doing for the community.

[SPEAKER_06]: And if they do, they get that property tax exemption.

[SPEAKER_07]: And is it dependent on federal nonprofit status?

[SPEAKER_07]: Is that really beyond observation?

[SPEAKER_07]: I had thought it was.

[SPEAKER_07]: So it sounds like you're describing a different process.

[SPEAKER_06]: Yeah.

[SPEAKER_06]: You know, 501c3 status is a tax status.

[SPEAKER_06]: And it's a federal tax status.

[SPEAKER_06]: I cannot remember on hand if you have to say it with that or not, but that's not, Jim can tell you that it's not a factor in whether or not a profit gets a charitable tax exception.

[SPEAKER_07]: There's a good question, there are a lot of good questions I'm seeing, and I want to turn to one which has to do with, I think it's, I scrolled away from it, but it's from Elizabeth W. I believe, forgive me if I have the wrong last initial,

[SPEAKER_07]: If a school or hospital is for profit, do they pay taxes?

[SPEAKER_07]: I think the answer is yes, but Jen, let me have you describe who does and doesn't pay taxes when there's some question as to who they are.

[SPEAKER_02]: So, a lot of people don't understand about exemptions is that the exemptions in Connecticut are based on use.

[SPEAKER_02]: So how is this property being used?

[SPEAKER_02]: Is it being used exclusively for one of those purposes that I kind of prefaced before?

[SPEAKER_02]: If you're educational, typically like private boarding schools, for example, those are typically also exempt.

[SPEAKER_02]: And there can be an argument made similar to kind of some of the discussions, some of the questions that I've seen in the chat also.

[SPEAKER_02]: you know, is there sure that private entities, you know, where are you paying, you know, tuition?

[SPEAKER_02]: Should you be exempt versus public education?

[SPEAKER_02]: Um, you know, hospitals largely have become very big corporations, whether that's Hartford healthcare, we've already talked about even, you know, that's very different than, you know, a smaller hospital.

[SPEAKER_02]: So,

[SPEAKER_02]: It really, sometimes those financials or how big it is, whether it's public or private, doesn't necessarily matter.

[SPEAKER_02]: As Gian-Carl Casa said, there is kind of benchmarks that have to be met.

[SPEAKER_02]: Being charitable, having a 501(c)(3) is one aspect of it, but it's not going to paint the whole picture.

[SPEAKER_02]: Because again, a lot of it is tied to how the property is being used and is it relieving a burden from the state.

[SPEAKER_07]: Right.

[SPEAKER_07]: And to your point, I'm just looking at my spreadsheet, and yes, we're going to get everyone the spreadsheet.

[SPEAKER_07]: I worked hard into the night last night making it, and I don't have a way to send it.

[SPEAKER_07]: Steve, you got it.

[SPEAKER_07]: Feel free to send it to everyone.

[SPEAKER_07]: Otherwise, we'll make it happen.

[SPEAKER_03]: I don't have it right now here, but we will make sure that it gets distributed to everyone later on.

[SPEAKER_07]: Yes.

[SPEAKER_07]: What it is is a spreadsheet that shows two things.

[SPEAKER_07]: And I'm talking about it because I want to make a point about it.

[SPEAKER_07]: It shows the...

[SPEAKER_07]: total percent by town and city of all exempt property, and it also shows every category.

[SPEAKER_07]: For example, to Jen's point about hospitals, about function, Sharon Hospital is the only for-profit general hospital in Connecticut right now, to my knowledge.

[SPEAKER_07]: You can argue that there were three others that's complicated, but Sharon has an $11.4 million exemption for hospitals.

[SPEAKER_07]: So I can only assume that even though that's a for-profit hospital, that's an exemption.

[SPEAKER_07]: Mayor, that gets us into the whole discussion of for-profit aspects of health that you, the city, are paying for.

[SPEAKER_07]: Yale New Haven Hospital has not only treatment facilities that you go for your acute care, but as you obviously know, lots and lots and lots of doctor's offices where they charge us lots and lots of money and they make money.

[SPEAKER_07]: Can you talk about that as it relates to your city budget?

[SPEAKER_04]: I would presume that the hospital would say that's part of the overall funding mechanism of the hospital where some of the activities or revenue generating that help support the other initiatives that they have that are

[SPEAKER_04]: um, that are supporting the services that they provide.

[SPEAKER_04]: So I think it's a, you know, that's a complicated question, but I would, you know, as Gian-Carl said, that the university as well as they have an argument for, um, why their structures are the way they are.

[SPEAKER_04]: Um, I also think it's just important to point out that the state has existing mechanisms that are supposed to help with this.

[SPEAKER_04]: And they do significantly, right?

[SPEAKER_04]: They have,

[SPEAKER_04]: the reimbursement to towns and cities that have private hospitals and universities, airports, other state property.

[SPEAKER_04]: It's just that the state doesn't pay the full amount.

And so there's a significant gap between what the losses and revenues and what the state pays.

[SPEAKER_04]: And so in thinking about solutions to this, I think one of the questions that I hope that the members of the group explore is

[SPEAKER_04]: is the state making the right balance as to reimbursing towns and cities for the loss revenue because of non-taxable properties?

[SPEAKER_07]: Do you feel if a doctor's practice falls under, is taxable as an LLC today, and let's say it's a freestanding, obviously it doesn't work this way, they're all in bigger buildings, but let's say, hypothetically, a doctor's practice is in a building, and the building is taxed,

[SPEAKER_07]: and it's assessed at $2 million, and it's taxed.

[SPEAKER_07]: And now Yale and Haven buys that practice, and with it the property.

[SPEAKER_07]: That goes off the tax rules.

[SPEAKER_07]: Does the PILOT automatically go up, or does it become a headache and you don't necessarily see more money?

[SPEAKER_07]: Because you've now gotten less tax revenue.

[SPEAKER_04]: No, the PILOT will go up, but it will not go up by 100% of the revenue loss.

[SPEAKER_04]: And so we, you know, we've seen in New Haven a significant movement, and across the state, significant movement on this in recent years.

[SPEAKER_04]: New Haven five years ago was receiving $45 million in PILOT funding because of the legislative changes that were significant.

[SPEAKER_04]: Now we're receiving $105 million.

[SPEAKER_04]: That's not the $180 that Yale would pay, and that's only a portion of the lost revenue there.

[SPEAKER_04]: And someone also asked a question about whether the local college and universities pay any sort of PILOT to the towns to help offset that as well.

[SPEAKER_04]: And Yale does pay us $30 million additional.

[SPEAKER_04]: Even with that, we're missing a $45 million revenue there that when you add that up, that's our parks department, youth department, engineering, public works department, libraries all together is $45 million.

[SPEAKER_04]: This is a huge amount of money for us, even though we could be supporting our community.

[SPEAKER_07]: Somebody asked what recreational facilities are exempt.

[SPEAKER_07]: And the answer I'm going to ask you, Jen, to address what I see is that it's lots of money in lots of towns.

[SPEAKER_07]: For example, Westport has a $19 million exemption for a recreational facility.

[SPEAKER_07]: Other towns, which obviously have them, West Haven doesn't have one.

[SPEAKER_07]: Jennifer, what's going on with that?

[SPEAKER_02]: So to provide some examples, it would depend on the ownership.

[SPEAKER_02]: But entities like the YMCAs, YMCAs are typically exempt.

[SPEAKER_02]: It really depends on the ownership to be able to best answer that question.

[SPEAKER_02]: Is it something that the town is somewhat providing?

[SPEAKER_02]: Is it owned by the town or owned by the town?

[SPEAKER_02]: With instances like the YMCA, [SPEAKER_02]: I don't believe there is a value in the programs that they're offering to the children in communities.

[SPEAKER_07]: Grants has a $107 million exemption for recreation and West Hartford has a $78 million.

[SPEAKER_07]: Those are not the municipal facilities.

[SPEAKER_07]: Who knows what they are.

[SPEAKER_07]: I get to your point.

[SPEAKER_07]: It's very sort of site specific.

[SPEAKER_07]: Gian-Carl Casa, do your members sometimes have difficulty

[SPEAKER_07]: designation as count exempt, or is that something that's over the years smoothed itself out?

[SPEAKER_06]: Well, a few years ago, there was a, or seven years ago, generally a few years ago, there was some controversy between our organization, CCM, and the assessor's organization about some of the definitions.

[SPEAKER_06]: There were assessors who were assessing nonprofits for

[SPEAKER_06]: group homes and there were assessors who are not doing it.

[SPEAKER_06]: So the split, that's been clarified by the general assembly.

[SPEAKER_06]: And I don't know that it's continues to be a major issue, but it has been in the past.

[SPEAKER_06]: You know, I looked around online last night to see what the story is nationwide.

[SPEAKER_06]: It's very hard to get a comprehensive picture of how things are handled.

[SPEAKER_06]: But I can say that 16,

[SPEAKER_06]: Other states have tax exemptions, property tax exemptions for nonprofits as part of their state constitutions.

[SPEAKER_06]: This is a report that was done in 2012.

[SPEAKER_06]: Because there's state constitutions, that probably hasn't changed that much.

[SPEAKER_06]: Another, I think it was 27 states had as part of their state constitutions granted to legislature the ability to grant property tax exemptions.

[SPEAKER_06]: And then there are states like Connecticut

[SPEAKER_06]: don't address it at all.

[SPEAKER_06]: And nonprofits can't be exempted to a statute and court decision.

[SPEAKER_06]: So it varies, it varied by town when we were struggling with the other organizations and it varies by state as well.

[SPEAKER_07]: Somebody did ask a question about other states.

[SPEAKER_07]: Somebody did ask a question about other states.

[SPEAKER_07]: If anyone, Mayor Elicker or, I'm just trying to jump in.

Or Jen, any other thoughts about what other states do?

I thought that was your perspective, Gian-Carl Casa.

[SPEAKER_04]: I don't know too much about what other states, what other states do.

[SPEAKER_02]: I could say, you know, I don't have very specific or granular data, but most exemptions across the country kind of are very similar to Connecticut's.

[SPEAKER_02]: And I think more and more of this very discussion has become very prominent, not just in Connecticut, but everywhere.

[SPEAKER_02]: I do know that in some states, and not so much the entities that Gian-Carl Casarepresents in terms of the smaller nonprofits, but when you're talking about the bigger ones, so again, the colleges, the hospitals, those larger appropriate, the airports, for instance, they are, they,

[SPEAKER_02]: will charge for services or don't try to find some type of formula that allows them to maybe not pay 100% of property tax, but they do pay their municipalities or localities something.

[SPEAKER_04]: I just had one, I think unique thing about Connecticut is there's five universities that are in the state constitution that are designated as examples from taxation.

[SPEAKER_04]: Yale, Wesleyan, Trinity.

[SPEAKER_07]: That's right.

[SPEAKER_07]: Yale recently came under fire from a group of Democrats in the legislature, which I wrote about, who are upset that they're negotiating with the Trump administration about admission policy.

[SPEAKER_07]: They alleged favoritism in admissions.

[SPEAKER_07]: And I think it should be of note to this group that while we think of these exemptions as being set in stone, the eight legislators that sent the letter to Yale

[SPEAKER_07]: it's somewhere we can explicitly and implicitly threaten to take away that status that the mayor just referred to.

[SPEAKER_07]: So these things are, they get political and we're in a political system, right?

[SPEAKER_07]: I guess that's okay, Mayor, I don't know.

[SPEAKER_04]: What do you?

[SPEAKER_04]: Yeah, and also it's worth noting that changes at the federal level now require Yale and some other universities that have a significant endowment to pay a percent of the, I think it's the revenues off the endowment, so they're paying over $100 million to the federal government annually as well.

[SPEAKER_07]: That's right, so these things tend to tie together.

[SPEAKER_07]: Ali T. asked a question about, not sure what you mean by for-profit.

[SPEAKER_07]: The way I see them is they are non-profits which make huge amounts of profit, albeit maybe unfairly, but they don't have shareholders, private investors, or owners, which is what defines for-profit businesses.

[SPEAKER_07]: Does the exemption law, and I would ask both Gian-Carl and Jennifer, does the exemption law

[SPEAKER_07]: miss that distinction?

[SPEAKER_07]: Are there nonprofit entities that are essentially functioning like for-profit companies?

[SPEAKER_06]: No.

[SPEAKER_06]: I think the distinction between nonprofit entities and for-profit entities is that what people think of as profit would be excess, I guess, to what they spend has to go back into the services that they provide.

[SPEAKER_06]: That's the essential distinction between profit and for-profit.

[SPEAKER_06]: non-profit and for-profits.

[SPEAKER_06]: Now, I will say, that being said, non-profits in Connecticut do operate a lot like businesses with the same burdens and difficulties as businesses.

[SPEAKER_06]: Non-profits in Connecticut employ 118,000 people.

[SPEAKER_06]: They're a significant part of the state economy.

[SPEAKER_06]: They have issues regarding resources.

[SPEAKER_06]: They have issues regarding real estate.

[SPEAKER_06]: They have issues regarding purchasing things.

[SPEAKER_06]: You know, they do what other businesses do.

[SPEAKER_06]: The difference is that if they have money left over at the end of the year, which is increasingly rare, that money goes back into services, the services they provided.

[SPEAKER_06]: Right.

[SPEAKER_07]: Right.

[SPEAKER_07]: And these disputes, Jennifer, you might want to talk about this.

[SPEAKER_07]: These disputes do come up right now.

[SPEAKER_07]: This week, I believe on Wednesday or Thursday, my colleagues at First CT Insider reported on Bridgeport Hospital

[SPEAKER_07]: in a battle with the city of Bridgeport over a piece of their facility, which was made non-exempt.

[SPEAKER_07]: Do you see a lot of these battles, lawsuits, gentle?

[SPEAKER_02]: I do.

[SPEAKER_02]: I think that right now, one of the biggest pieces of contention is dealing with hospital property.

[SPEAKER_02]: So as I said, exemptions are based on use.

[SPEAKER_02]: and there are statutory definitions for what is a hospital.

[SPEAKER_02]: Now, you made a great point earlier about private doctor's practices.

[SPEAKER_02]: Private doctor's practices, those are taxable.

[SPEAKER_02]: Now, the hospital entity buys them, does the use of that property change?

[SPEAKER_02]: if the use of that property hasn't changed, then it should not be tax exempt just because it's owned by a possible entity.

[SPEAKER_02]: So that is largely, I think, surrounding most of the litigation that occurs across the state right now in regards to those big entities.

[SPEAKER_02]: I had a Supreme Court case with Hartford Health Care and about

[SPEAKER_02]: 2015, 2016, after the state kind of saw what was happening with these types of entities, they created a statute that basically said that if you exceed a certain amount of revenue, then anything outside of your general freestanding hospitals and campuses would be taxable.

[SPEAKER_02]: And that's largely how the town of Stonington won that specific court case.

[SPEAKER_02]: So that's probably

[SPEAKER_02]: the only threshold to your point earlier that we've talked about that exists in Connecticut state statute when it comes to institutions like this.

[SPEAKER_07]: So it's a tough issue.

[SPEAKER_07]: By the way, I should mention that Jen is from Stonington, the town where the former first elected person, Danielle Chesebrough, she is the original spark of the idea of the CECM or this citizens assembly.

[SPEAKER_07]: Uh, my proximity, again, to thank, uh, and, and we all do.

[SPEAKER_07]: I know that you guys work closely together.

[SPEAKER_07]: I believe you did.

[SPEAKER_07]: Um, so that's great.

[SPEAKER_07]: So that's in a special, Stonington is in a special place here.

[SPEAKER_07]: That'll be good.

[SPEAKER_07]: That's some handshake.

[SPEAKER_07]: I want to put the mayor on the op seat right now.

[SPEAKER_03]: I just have the best 20 seconds remaining, by the way.

[SPEAKER_07]: Oh, no, I, I thought we had much more time.

[SPEAKER_07]: The mayor, can you close out by saying, doesn't Yale bring enormous economic benefit

[SPEAKER_00]: recording in progress.

[SPEAKER_05]: We got cut off at the interesting part.

[SPEAKER_05]: You know, I have a feeling that these conversations could go on for quite a while and they're all the interesting parts.

[SPEAKER_05]: So sorry you got cut off.

[SPEAKER_01]: Sorry.

[SPEAKER_01]: Yes.

[SPEAKER_01]: Everyone, I think we should have everyone back now.

[SPEAKER_01]: Well, I'm hopeful that you made it to your breakout and that the conversation was insightful and impactful.

[SPEAKER_01]: I know that in my room, when I was with the special education group, I know there were some resources that were referenced.

[SPEAKER_01]: I didn't get a chance to voice